• Impromptu Microsoft Teams Meeting - January 23

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- [VIEW RECORDING - 34 mins (No highlights)]
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- @0:00 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- Hello. Hey, Jendrik, it's Mouaz here. Hi Mouaz, how's it going? and slip into our conversation. Thanks a lot for taking the time.
- Of course. Thanks for reaching out. You mentioned that a colleague maybe will be joining from your side. Shall we wait?
- Yes, he's actually on his way back to Vienna. He was in Berlin yesterday with René Reich. We work sometimes from Berlin.
- So I'll check out with him quick on Slack, but sometimes the connection is not reliable on the Berlin border.
- Oh, in the waiting room. Cool. So do I say Jendrik or Jendrik? Jendrik, yeah. It's fine. It's fine.
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- @0:56 - **POLLEHN Jendrik**
- Either way. Yeah, great.
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- @1:01 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- Bye René.
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- @1:03 - **POLLEHN Jendrik**
- Hi.
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- @1:04 - **René Reich**
- Hi. Hi. So René and I...
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- @1:09 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- With a third colleagues of ours, like Olaf, we met at Carbon13 around September, and we decided to start a venture in the field of discrete manufacturing and product design for discrete manufacturing, mainly addressing sustainability problems, among other problems such as optimizing on costs and time and things like this related to those topics.
- And we've been doing a lot of interviews, a lot of third parties, we gathered a lot of insights, and I stumbled upon Akadis, and upon also your profile, and I saw your ideas on sustainability, and I thought that would be very nice for us to speak with you, so thanks a lot.

- Maybe I'll give René a bit of room to introduce you. Sure. Hi, I'm René.
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- @2:14 - **René Reich**
- I'm an engineer by training, so I'm interested in how the product development process of electromechanical products is working and how sustainability as a requirement is considered in that or not.
- And yeah, that's what we're trying to explore a little bit. Okay, thank you.
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- @2:39 - **POLLEHN Jendrik**
- Yeah, quick introduction feedback from our side. Yeah, we are both, Philipp and I are located in Braunschweig, Wolfsburg, our location here next to the big OAM and automotive industry that's located here.
- That's why we are, yeah, we grew a little bit out of the automotive industry and out of the situation that has been going on there for the last years.
- Yes. моцыв oversaw Yeah. compared The negative impacts it had on our business to think about new ways, new ideas, new business opportunities, and that's why I brought Philip with me, he will introduce himself right after, but he brought the idea of exploring sustainability, we basically had a little journey from battery development to maybe going to battery recycling, second life cycle, seeing that there is already a lot going on and maybe not a good fit for us, and then we saw to go from there towards sustainability, the main topic we had back then was the CSRD and the potential for, it had created back then, the business case behind it, and yeah, one and a half years later, we were still trying to build the business here at the CODIS, yeah, challenges left and right, as I mentioned,
- I was in the video, mainly the mindset and the regulatory or the missing regulatory guidelines with like postponing and taking out regulatory regulations and yeah, in short for me, Philipp, please add.
- Yeah.
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- @4:30 - **STOLZ Philipp**
- Hi, I'm Philipp. I'm actually, I have a legal background, but I'm conventionally, I'm used on project basis. I'm not part of the legal department at Accordes, but I'm used as a regulatory specialist in projects, working with customers usually.
- And as Jendrik already mentioned, we are in a situation or we are economically in a situation as a service provider, mainly for the automotive industry, at least our...
- ...um... ... The base in Wolfsburg is, and probably in other cities where the big automotive OEMs are placed as well, and as business in the automotive sector in Germany is suffering a lot over the last two years, especially our OEMs suffers already quite longer, because they are highly invested in China, and the Chinese market is already changing for 10 years now, a decade.
- That we thought as a service provider that we have to find new goals, new targets, no fields of business where we can succeed, and at that time when we decided to go the sustainability way, the CSRD was a big thing in Europe, now it's postponed and postponed again, thanks to Omnibus 2026.

- And so we saw that there is a huge regulatory pressure that hits our usual customers but also other customers that we could provide services to to get them ready.
- We now are actually against swimming also with sustainability because the regulatory framework isn't given as it has changed on a daily basis practically.
- And therefore, of course, our potential customers don't know if it is the right time to buy services regarding sustainability because they might not be necessary.
- They might not be necessary now at this time from a regulatory perspective. Or they might even serve wrong if they take the .
- The regulations we have right now, or the drafts that are actually around regarding the regulatory, might not even be the regulatory that will be enacted finally, maybe end of year, maybe end of next year.
- So that is actually the situation that we are a service provider, especially for the engineering industry, at least in Wolfsburg, but also in the IT segment.
- And that we thought the idea might be the right one to go from a regulatory perspective, reaching out, not the what can you do to make the world a better place, but what do you have to do to comply with laws, usually in Germany, the better way to succeed.
- But even that doesn't work right now. So we are in a situation where we have to wait and see what the European...
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- @8:14 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- I think you touched on really good points here regarding the regulation on one side, the sustainability concept, and the gaps that exist also in implementing them, and the urge to do this.
- And yes, and I think this is what I saw also Jendrik, were like, this is not anymore a compliance problem, this is an innovation problem.
- Since Akodis, you guys have a lot of also design engineers, you're working with a lot of clients, I was wondering what it's like, what do you see the technical gap that hinders design engineers from taking certain decisions into embedding?
- I mean, we can call it sustainability, but let's say any design decision at the start of the project.
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- @9:11 - **POLLEHN Jendrik**
- In my opinion, it's not really technical aspects that I'm missing. It's the mindset that's just not there. That's what we came across while talking through the other players in the field, where we have to promote the topic internally to our management and top management here, talking to a specific client.
- And that's the main issue, I think, at the moment, the mindset that especially in the very conservative industries we are working in, they didn't really have to adapt and do very drastic, big, innovative changes over the last decade because the business success was already there, always there.
- And And And And And And And Maybe they forgot how to a little bit, but that's the feeling I get, that we don't even get to what's the technical issue to implement new ideas, new technologies.

- Most of the people don't even think in this direction, especially in automotive. We did it in a certain way for decades, and it's very difficult to get them to change and to, yeah.
- Yeah.
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- @10:40 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- So that's, I mean, Philip, add a few.
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- @10:44 - **STOLZ Philipp**
- Yeah, exactly. Maybe I had, I mean, one reason, and I'm, of course, only speaking from our experience and our experiences in Germany mainly, and our experience is in the automotive sector.
- And if we look at these customers, then we have to be aware that the German automotive industry is in a...
- And they are still at the point where many, many people within the companies didn't even realize what a financial and economical situation they are in.
- As I already mentioned, this is, of course, not only the reason of their performance here in Germany or Europe, but as the automotive sector in Germany is a highly globalized sector, they are dependent on markets that are far, far away and usually not even known by the people working at the company here, be it the structure, be it the situation, the economic situation.
- I already mentioned China regarding these topics. So that means if a lead developer, a lead engineer, my my goals
- is tasked with the development of a certain tool, a certain part, component or whatnot, usually the price tag is the one thing that decides all and everything, sustainability as an image factor mainly, or is promoted mainly as an image factor and doesn't count that much.
- It has to be economically viable, what he's designing. It doesn't have to be good for the future of our planet, necessarily.
- So, if Jendrik says the mindset is missing, I'm saying there is a reason for it, and that is the economical situation.
- And the second one I already mentioned, too, is what is happening on a regulatory... Basis at the moment, it doesn't help a lot, while, of course, the typical reflex of the economical institutions in Germany or the companies in Germany is asking for deregulation.
- In this case, I think it is true, much of the regulation that was enacted and now is actually turned back again like the CSRD are bureaucracy monsters.
- It is a swamp of data that is collected with no logical reason why and how that could help the company.
- So they have to figure it out themselves and they don't have the time and necessary resources to do that.
- And. Now it's actually changing on a constant basis. So, the second point is that I see that our customers see these regulations as an enemy to their work.
- They don't see a cooperation, they don't see an understanding from the lawmakers of the real situation within the economy.

- They just see another hoop they have to jump through, yeah, to satisfy. And in this case, a very weak European Union, while the global situation on the markets actually puts the focus on completely different topics.
- So, this is only a burden, or as I said, an enemy for our customers, the regulations. And I think that is...
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- @15:09 - **René Reich**
- These are the two main reasons why. And if I may jump there a little bit into the detail, because you often mention the CSRD or the Omnibus, where I'm like, okay, but those are sustainability regulation on the organizational level, right, with reporting standards on company level, organization matrix, and so on.
- However, what I see, and please correct me if I'm wrong, somehow on the product level, the ecodesign regulation is less more attacked.
- It's somehow under the radar, while CSRD is getting, with Omnibus, always postponed, somehow the ecodesign will come into effect.
- It's not postponed yet, or not even discussed in the commission yet. So somehow on the product level, we have to change.
- No.
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- @16:10 - **STOLZ Philipp**
- So, we are actually discussing with a lot of customers at the moment strategies for preparing LCAs for lifecycle assessments for the products components and so on and so forth, but we also see that this is a new way of thinking which comes with an investment for the companies and usually the resources for the Investments aren't given to the developers and that is mainly the reason, yes, we see on a developer engineer level quite some interest in these things, certainly, but then again, and this is probably a feedback you got, especially from consultancy quite often, consultancy here in Germany at least, ...
- ... ... regarding sustainability actually was preaching a circular economy since 15 years and there are hundreds of concepts to reform companies in Germany into a circular economical system which then would come of course with products that are eco-designed and the plans are lying in the drawers of the top managers.
- of these companies but for whatever reason even if it is economically viable they didn't start changing they keep their own or their old mind just a few of course there are a few that did it but some of them especially if you if you take the as we call them Camus the the small and middle-sized companies they are highly conservative mainly family run and many of them of them
- I just want to do business as I did business 20, 30 years ago, and I cannot, I certainly cannot fathom why they are not willing to change because they're running with open eyes into demise, but that is the feedback we at least got, let's say, for 10 years.
- And finally, now things seem to change a little bit, but the global economical situation now is so problematic that most of the companies are too weak to go on such an investment.

- At least this is how I explain it to me. I don't know if that helps you guys, but this is how I see it.
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- @18:57 - **POLLEHN Jendrik**
- No, just add a quick, yeah, just when you look on the product level, also their feedback from from
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- @19:09 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- from people we talked to is that there's a lot of focus on compliance so product compliance like for example the PPWR so also there a lot of compliance a lot of regulatory affairs and that's why I think yeah the innovation factor and the technical part they are not at the center or at the front feeling I get but yeah sorry just no that's that's that's the feedback we got from a lot of the people we have talked to I wonder though why sustainability couldn't be tied to other objectives that designer has to do and be embedded there there's like a really nice example that I like to mention which is the IKEA couch dish like this white one that cost like I think $20 since 40 years
- And at that time, IKEA optimized it in a point that, okay, it could fit in a car, so we make it designed for disassembly, and we reduced the wood by 90 percent by embedding, instead of wood, a cellular carton structure.
- So you're using 10 percent of the wood that you're using, and this structure should be hexagonal, for example, in order for it to be durable.
- And that's a good example how using less materials and designing for disassembly is accompanied with an objective for transportability, for example, easy transportability and, like, using less space and using less materials.
- I wouldn't get into the argument of whether or not IKEA is a sustainable company or not, but that's an example of a design that...
- That was optimized for, for example, less material on certain sustainability or circular objectives as well as cost.
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- @21:21 - **STOLZ Philipp**
- And the question is, yeah, please. Maybe to counter this and give you maybe already an answer for the question I do not really know.
- For a company that builds cars that actually are allowed to drive on our roads and streets, usually you have to go through a lot of ordeal regarding homologation, regarding getting the approval, the type approval and so on and so forth.
- This is a process if you if you really look at the automotive industry and company, you see most of the engineering, the development.
- don't know. And phase is actually centered around exactly this, how do I get what I developed through homologation so that it is allowed to drive on our streets so we can sell it.
- And this is a highly complicated process in huge companies, so the process there is complicated, the people involved are many and so on and so forth.

- And there is just one rule and that is never change a winning team. So if you actually have components where you can reduce the whole homologation process to an exact minimum, you don't want to change it.
- Not even from a sustainability point of view because it comes with a lot of work that these people don't want where they don't have the capacity.
- And I think that keeps probably these, these, this topic, especially the topic sustainability. Thank you much. Thank Thank It slows it down because people don't have it as their priority.
- The priority are different ones. If we are actually looking at the electrical propelled cars, then we see, no, it's actually the distance you can cover with a car.
- That is important for the customer and how the battery is produced, where the minerals are coming from, and so on and so forth.
- Usually the customer is not very much interested in it. If you have a green sign put on it, and this was very sustainable, his product, he might be interested in something like this.
- But what lies behind that usually isn't known by the customer. And it is also not promoted by the companies.
- I see.
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- @23:59 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- And this is for also highly regulated industry like automotives, as you have mentioned. Do you, do you, guys work with?
- Other verticals, like, I don't know, like I see like aerospace, or for example, there are certain requirements maybe also like in defense, but certain parts needs to be repairable.
- We have those industries.
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- @24:29 - **POLLEHN Jendrik**
- We are working in those industries as well, but Philipp and I, we haven't had any major contact points with it yet.
- was mainly automotive. And then a couple of contact points, one or a couple of contact points within the healthcare pharma industry.
- Also very, very high or highly regulated. So also always one of the major topics. I see.
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- @24:58 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- Nice. Yeah. Before heading to the closing, because I think we have only 30 minutes. I'd like to ask René if, if you have anything to add.
- next of I'm I I'm No, thank you.
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- @25:12 - **René Reich**
- Thank you for your time. Do you guys have any questions for us? I mean, you tease it in your message that we are happy to share findings from a potential white paper you are planning on publishing next month.
- So I don't know anything, any insights in our direction we could use, some arguments, some numbers, I don't know, trends that you found.

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- @25:40 - **POLLEHN Jendrik**
- Always appreciate it to you.
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- @25:43 - **René Reich**
- Yeah, you can go René. So we are a little bit on a journey of discovery, how to get sustainability into products, any discrete products, electromechanical products.
- And so far, I think also in this conversation, we can see that the actual just actual organization, The is not to incorporate requirements or to incorporate sustainability in the product requirements.
- In the moments they would have to do it, if the pressure would be big enough, the requirements are quite easily written down for a new product to be repairable, to be modular or whatever.
- Then the interesting part is how, if this pressure or these requirements are not there, how to, let's play the green advocate, how to get it into the product anyway, right?
- And then we're exploring a little bit the idea how to combine product requirements. Let's say, if we could show them that when you actually go the green weight, green weight that you can reduce costs from day one in your production, which might be feasible in some products, not in all, for sure.
- At least we would have sparked at least interest in the low-hanging fruits, if I make sense to myself. However, to find a tool or to prepare a tool that can do both, showing them, look, this is more sustainable and more cost-efficient, I will be a challenge.
- So the duality between circularity, sustainability, and cost reduction for, yeah.
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- @27:40 - **STOLZ Philipp**
- What's actually the feedback you've got, I mean, you've probably discussed this with a lot of consultancies as well, as they are the biggest players at the moment in Germany regarding sustainability, I guess you have the chance to speak to some of the big ones, and also all the small ones, especially if you're in Berlin, you're in the Hutt.
- So what's actually the answer you got from them? Because, I mean, I mean, what you say is why? But as far as I know and talk to them, they're trying this since 10 years to establish this mindset in the German industry.
- Yeah.
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- @28:22 - **René Reich**
- The issue there is, it's really managing complexity because, as you said, there's barely an industry which is not somehow regulated.
- So either in farmer or medicine products or automotive or aerospace, where you're already handling a lot of requirements on the one hand and then consumer needs.
- And if you add sustainability to it, it's the one at least looked requirement anyway. So if you could get the burden away from our solutions and our software so far, you can beautifully design and engineer a product.
- However, this software actually doesn't tell you if it's right now compliant or not. You're barely getting it. A real-world feedback.

- You're having this 3D modeling somewhere which is quite detached from anything in the real world. And the human has to make the translation from this abstract data mess towards a real-world case.
- And if we can bridge that gap, it would be interesting. Yeah. And this is a feedback also you have given us right now.
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- @29:40 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- So usually it's a mindset thing. So when engineers don't have the mindset and then you go to the management level and you say, you know, I want to apply those concepts.
- And they go to their engineers and they're like, yeah, that would be nice to do. I would like to have a lot of time to do it.
- The manager would say, no, we don't have much time. We have to get this product out to the market.
- We have to keep the... The revenue streaming into our companies. So there's no time for... So if we manage this complexity, then maybe we can go from there.
- And this is what is our focus on the interviews we're conducting, which will lead me.
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- @30:21 - **René Reich**
- You guys have a lot. We want to do interviews also with design engineers, with people that you said that they like this mindset, see, get more into the complexity of this more.
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- @30:33 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- And it would be helpful if you can get us in touch with some of them. And until we collect all those feedbacks, we will put it in a report and we'll be happy that you access it as well.
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- @30:47 - **STOLZ Philipp**
- Yeah, sorry, now the lawyer comes. Of course, we cannot give you contacts within the company. We can talk to some of the people if they are interested and they can reach out to you.
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- @31:00 - **René Reich**
- This is something we can do.
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- @31:02 - **STOLZ Philipp**
- So certainly, but maybe you give us also because, I mean, if you want to convince.
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- @31:09 - **René Reich**
- Nice to talk to you.
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- @31:10 - **STOLZ Philipp**
- It would be nice to know a little bit more of your agenda. You come in 13, as far as I know.

- What's the goal? I see you are a fund. You actually, on the one hand, probably collect money. On the other hand, trying to find supportable startups.
- You come from England. You actually have a connection to Cambridge.
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- @31:34 - **René Reich**
- And now you're here in Berlin. What's your goal? Yeah.
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- @31:38 - **Mouaz Al Qudsi (mouazq@gmail.com)**
- So the goal is to build a product and to make a carbon case out of it. And this carbon case usually is achieving a goal of reducing the amount of carbon footprint yearly that you provide with your service.
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- @31:59 - **René Reich**
- Yeah, go ahead, René. Okay. The goal is... So true, carbon 13 originally is from Cambridge, but for five years...
- They in Berlin and they in general invest in startups or any venture that is trying to increase sustainability, the number they like to use is actually any venture that aims at 10 million tons CO2 per year, however they're also including social sustainability aspects, so if you have a venture which is also in the social sustainability field, it also accounts, it's not just the carbon tunnel vision.
- But yeah, that's more or less the idea behind it. And we have seen, we found the gap within the gap, because we have seen that mechanical engineering or general sustainability of mechanical products is not considered yet.
- There's a lot of bioengineering, so we were like, we will tackle this, we will solve it.
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- @33:06 - **STOLZ Philipp**
- Okay. Okay. .
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- @33:08 - **René Reich**
- . You All right. Sure.
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- @33:11 - **STOLZ Philipp**
- If we get in contact with our engineers, we will spread the message that there is interest in this topic and recommend you guys.
- But, yeah.
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- @33:26 - **René Reich**
- Perfect. Thank you very much. Thank you very much for your efforts. Thank you, guys, for the time. Of course.
- Thanks to you, too. Yeah. then once you have your white paper ready, let us know. Oh, definitely. know what the solution is.
- If you have more questions or any insights, we're happy to talk. It's in both directions, definitely. Keep in touch.

- Okay. Will do. Thank you. Thank you, guys. See you. Bye. Happy weekend. Bye-bye. Thank you. Bye. Have a nice weekend.
- Bye-bye.
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